

discharge the accumulations. Since such developments benefit the preferred stock directly, they are likely to establish (for a while at least) a market value for the senior issues far higher than that of the common stock. Hence, assuming any appreciable degree of improvement, a purchase of the preferred shares at the low levels should fare better than one made in the common stock.

Discrepancies Due to Special Supply and Demand Factors. The illogical relationships that we have been considering grow out of supply and demand conditions that are, in turn, the product of unthinking speculative purchases. Sometimes discrepancies are occasioned by special and temporary causes affecting either demand or supply.

Examples: In the illogical relationship between the prices of Interboro Rapid Transit Company 5s and 7s in 1933, the operations of a substantial sinking fund, which purchased the 5s and not the 7s, were undoubtedly instrumental in raising the price of the former disproportionately. An outstanding example of this kind is found in the market action of United States Liberty 4¹/₄s during the postwar readjustment of 1921–1922. Large amounts of these bonds had been bought during the war for patriotic reasons and financed by bank loans. A general desire to liquidate these loans later on induced a heavy volume of sales which drove the price down. This special selling pressure actually resulted in establishing a lower price basis for Liberty Bonds than for high-grade railroad issues, which were, of course, inferior in security and at a greater disadvantage also in the matter of taxation. Compare the following simultaneous prices in September 1920.

Issue	Price	Yield
United States Liberty Fourth 4 ¹ / ₄ s, due 1938	84 ¹ / ₂	5.64%*
Union Pacific First 4s, due 1947	80	5.42%

* Not allowing for tax exemption.

This situation supplied an excellent opportunity for the securities analyst to advise exchanges from the old-line railroad issues into Liberty Bonds.

A less striking disparity appeared a little later between the price of these Liberty Bonds and of United States Victory 4³/₄s, due 1923. This state of affairs is discussed in a circular, prepared by one of the authors